Constellation Software Inc. (CSU)

Acquisition Discipline and Cash Conversion Sustain the Premium

CSU, TSX | Information Technology | Vertical-Market Software

NEUTRAL

Price (22 Aug 2024):	C$4,261.49
Price Target (Dec-25):	C$4,900.00

INVESTMENT THESIS

Constellation Q2 revenue increased 21% to US$2.47bn, with 2% organic growth and 3% after currency. FCFA2S rose to US$182mm from US$14mm as working-capital and tax comparisons normalized.

The company compounds by acquiring durable vertical-market software businesses and allowing decentralized operators to reinvest. Organic growth is modest; capital deployment, hurdle-rate discipline and cash conversion drive most per-share value.

Our C$4,900 December 2025 target applies 51.6x FY25E FCFA2S of about C$95 per share, translating our roughly US$70 estimate at C$1.36 per US dollar. The premium recognizes a rare acquisition record, while deployment competition and a very high starting multiple limit the rating to Neutral.

- Q2 revenue grew 21% to US$2.47bn; organic growth was 2%, or 3% after currency.
- Net income attributable to common shareholders rose 71% to US$177mm and FCFA2S increased to US$182mm.
- Our C$4,900 December 2025 target implies 15.0% price upside. Estimated dividends add 0.2%, for approximately 15.1% total return.

COMPANY OVERVIEW

Constellation acquires and operates vertical-market software companies through decentralized operating groups. Recurring maintenance revenue, customer-specific products and disciplined capital allocation support returns; deployment scale and valuation are the principal risks.

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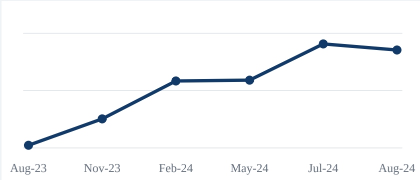
Independent research exercise

PRICE PERFORMANCE



Month-end closes; final point 22 Aug 2024.

COMPANY DATA

Shares outstanding	21.2mm
Market cap	~C$90bn
52-week range	~C$2,660-4,477
Quarterly dividend	US$1.00
Q2 revenue	US$2.47bn
Q2 FCFA2S	US$182mm
Q2 acquisition value	US$624mm
Latest results	Q2 2024

KEY ESTIMATES

US$mm unless noted	FY22A	FY23A	FY24E	FY25E
Revenue	6,622	8,407	10,000	11,500
FCFA2S	853	1,160	1,350	1,480
FCFA2S / share	40.25	54.74	~64	~70
Organic growth	-1%	5%	~3%	~3%
Dividend / share	4.00	4.00	4.00	4.00

Q2 2024: ACQUISITION GROWTH DOMINATED, CASH FLOW REBOUNDED

Revenue growth remained acquisition-led, while recurring maintenance revenue provided stability. Cash flow improved sharply against an unusually weak comparison. The quarter supports the model without changing the central debate around organic growth and deployment returns.

Metric	Q2/23	Q1/24	Q2/24	Y/Y	Read-through
Revenue	US$2.04bn	US$2.35bn	US$2.47bn	+21%	Acquisition led
Organic growth	4%	4%	2%	-2pt	Moderation
Net income	US$103mm	US$105mm	US$177mm	+71%	Improved
Diluted EPS	US$4.88	US$4.95	US$8.35	+71%	Earnings growth
CFO	US$123mm	US$737mm	US$265mm	+116%	Cash rebound
FCFA2S	US$14mm	US$446mm	US$182mm	+US$168mm	Working capital
Acquisition value	Material	US$288mm	US$624mm	Active	Deployment

FORECAST AND EARNINGS FRAMEWORK

We model mid-teens revenue growth, largely from acquisitions, and modest organic growth. FCFA2S grows as acquired businesses season and working capital normalizes. The model assumes continued access to attractive small and mid-sized transactions without a decline in hurdle rates.

US$mm unless noted	FY22A	FY23A	FY24E	FY25E	FY26E
Revenue	6,622	8,407	10,000	11,500	13,000
Revenue growth	30%	27%	19%	15%	13%
Organic growth	-1%	5%	~3%	~3%	~3%
FCFA2S	853	1,160	1,350	1,480	1,680
FCFA2S / share	40.25	54.74	~64	~70	~79
Acquisition spending	High	High	High	High	High
CFO	1,297	1,779	~1,900	~2,100	~2,350
Dividend / share	4.00	4.00	4.00	4.00	4.00
Net leverage	Moderate	Moderate	Moderate	Moderate	Moderate

DEPLOYMENT RETURNS MATTER MORE THAN REPORTED EPS

Purchase accounting and acquisition timing make net income a noisy measure. FCFA2S and long-run return on deployed capital better capture the model. A larger capital base makes it harder to sustain historic returns without moving into bigger transactions.

GROWTH DRIVERS: RECURRING REVENUE, DEPLOYMENT AND DECENTRALIZATION

Thousands of mission-critical products create recurring revenue and switching costs. Decentralized operators preserve accountability, while central capital allocation determines portfolio growth.

Driver	FY23A	Q2/24	FY25E	FY26E	Investment implication
Revenue	US$8.4bn	US$2.47bn	US$11.5bn	US$13.0bn	Acquisition growth
Organic growth	5%	2%	~3%	~3%	Underlying demand
Recurring mix	High	High	High	High	Cash durability
FCFA2S	US$1.16bn	US$182mm	US$1.48bn	US$1.68bn	Core metric
Deployment	High	US$624mm	High	High	Growth engine
Decentralization	Established	Stable	Scale	Scale	Execution moat

VERTICAL-MARKET SOFTWARE

Products are embedded in customer workflows and often serve small markets unattractive to large competitors. Recurring maintenance supports resilience, while organic growth remains modest.

ACQUISITION DEPLOYMENT

The pipeline is broad, but competition and scale can lower returns. Our base case assumes disciplined pricing and no transformative acquisition.

DECENTRALIZED OPERATIONS

Autonomy supports accountability and entrepreneurship. Governance, succession and capital-allocation consistency become more important as operating groups multiply.

VALUATION AND PRICE TARGET

Our December 2025 target is C$4,900. The primary framework applies 51.6x to our FY25E FCFA2S per share of C$95.00. A cash-flow model and peer comparison provide cross-checks. The multiple reflects the company's quality and growth profile while retaining a discount for the principal risks identified in this report.

Method	Weight	Input	Output	Rationale
FCFA2S multiple	50%	51.6x FY25E C$95.00	C$4,902	Acquisition track record
Cash-flow model	30%	9% cost of equity; 10% growth	C$4,704	Cash conversion
Peer check	20%	Vertical software peers	C$5,189	Relative valuation
Weighted target	100%		C$4,900	Rounded target

VALUATION SENSITIVITY

FY25E FCFA2S / multiple	40.0x	45.0x	50.0x	55.0x	60.0x
C$80.75	C$3,230	C$3,634	C$4,038	C$4,441	C$4,845
C$90.25	C$3,610	C$4,061	C$4,512	C$4,964	C$5,415
C$95.00	C$3,800	C$4,275	C$4,750	C$5,225	C$5,700
C$99.75	C$3,990	C$4,489	C$4,988	C$5,486	C$5,985

At C$4,261.49, the shares trade at 44.9x our FY25E FCFA2S per share. The table is a mechanical sensitivity, not a forecast, and does not include dividends or balance-sheet changes.

SCENARIO ANALYSIS

Scenario	Probability	Key assumptions	Value
Bull	25%	Deployment accelerates; returns remain exceptional	C$5,978
Base	55%	Mid-teens growth; disciplined acquisitions	C$4,900
Bear	20%	Deployment slows; organic growth weak; de-rating	C$3,332

The probability-weighted scenario value is C$4,856. Our C$4,900 target implies 15.0% price appreciation and approximately 15.1% total return including estimated dividends through December 2025. We rate CSU Neutral.

CATALYSTS AND RISKS TO OUR RATING

UPSIDE CATALYSTS

- Acquisition deployment exceeds plan at historic returns.
- Organic growth improves above 4%.
- Cash conversion remains strong across operating groups.
- New platforms broaden the opportunity set.

DOWNSIDE RISKS

- Competition raises acquisition prices.
- A larger capital base reduces incremental returns.
- Organic growth slows toward zero.
- Governance or succession weakens capital discipline.

METHODOLOGY AND SOURCE NOTES

1. Constellation Software FY2022 and FY2023 results dated 29 March 2023 and 6 March 2024:
https://www.csisoftware.com/constellation-software-inc-announces-results-for-the-fourth-quarter-and-year-ended-december-31-2022-and-declares-quarterly-dividend/ and
https://www.csisoftware.com/constellation-software-inc.-announces-results-for-the-fourth-quarter-and-year-ended-december-31-2023-and-declares-quarterly-dividend/

2. Constellation Software Q1 and Q2 2024 results dated 10 May and 9 August 2024:
https://www.csisoftware.com/constellation-software-inc.-announces-results-for-the-first-quarter-ended-march-31-2024-and-declares-quarterly-dividend/ and
https://www.csisoftware.com/constellation-software-inc-announces-results-for-the-second-quarter-ended-june-30-2024-and-declares-quarterly-dividend/

3. Market data: CSU raw TSX close of C$4,261.49 on 22 August 2024: https://query2.finance.yahoo.com/v8/finance/chart/CSU.TO?period1=1692748800&period2=1724371200&interval=1d&events=history

4. All forecasts, FCFA2S estimates, currency assumptions, scenarios, rating and target are contemporaneous author estimates based only on the dated sources above.

ANALYST AND MODEL DISCLOSURE

Strict point-in-time cutoff: 23 August 2024. Every factual input and reported result was public by that date. 'A' denotes actual and 'E' denotes the author's contemporaneous estimate; estimates, scenarios, rating and target do not use subsequent actual results or events. Prepared for Akul Veauli as an independent equity-research exercise. It is not affiliated with or endorsed by Constellation Software, CI Financial, CI Global Asset Management, any dealer or any employer. Non-GAAP measures should be read with company reconciliations.

RATING DEFINITIONS

Rating	Mechanical definition
Overweight	Expected total return above 15% over the stated target horizon.
Neutral	Expected total return between 0% and 15%.
Underweight	Expected total return below 0%.

Expected total return equals price return to the stated target plus estimated dividends over the target horizon. This document is informational and educational only, is not an offer or recommendation, and does not consider any recipient's objectives, financial circumstances, liquidity needs or risk tolerance.